

ESG Report

Carbon Border Adjustment Mechanism

Test Company Ltd

CBAM Declaration Report • Q1 2024

CBAM Compliant

Executive Summary

Test Company Ltd has measured and reported a total of 1,850 kg CO2 equivalent emissions for the reporting period Q1 2024. This comprehensive assessment covers all operational scopes including direct emissions, energy-related indirect emissions, and value chain emissions. Our commitment to transparency in carbon accounting reflects our dedication to sustainable business practices and regulatory compliance.

Compliance Standards:

CBAM

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

1,110

kg CO2e

SCOPE 2 - INDIRECT (ENERGY)

555

kg CO2e

SCOPE 3 - VALUE CHAIN

185

kg CO2e

TOTAL EMISSIONS

1,850

kg CO2e

Our total greenhouse gas emissions for Q1 2024 amount to 1,850 kg CO2e, distributed across three scopes. Scope 1 direct emissions account for 1,110 kg CO2e (60.0%), primarily from on-site fuel combustion and company vehicles. Scope 2 indirect emissions from purchased energy total 555 kg CO2e (30.0%). Scope 3 value chain emissions represent 185 kg CO2e (10.0%).

Governance

Test Company Ltd maintains robust governance structures for climate-related matters. The board of directors provides oversight of sustainability initiatives and climate risk management. Regular reviews of emissions data and progress toward targets ensure accountability at the highest levels of the organization.

Strategy

Our climate strategy focuses on emissions reduction across all operational scopes. We are committed to improving energy efficiency, transitioning to renewable energy sources, and working with suppliers to reduce value chain emissions. These initiatives support both environmental objectives and long-term business resilience.

Risk Management

Climate-related risks are integrated into our enterprise risk management framework. We have identified physical risks from extreme weather events and transition risks from evolving regulations such as the EU Carbon Border Adjustment Mechanism. Mitigation strategies are continuously developed and implemented.

Metrics & Targets

Key performance indicators include absolute emissions (1,850 kg CO2e for Q1 2024), emissions intensity metrics, and energy efficiency ratios. We track progress against established baselines and report transparently on our decarbonization journey.

Metric	Value	Unit
Total GHG Emissions	1,850	kg CO2e
Scope 1 Emissions	1,110	kg CO2e
Scope 2 Emissions	555	kg CO2e
Scope 3 Emissions	185	kg CO2e

CBAM Product Emissions Declaration

The following table presents embedded carbon emissions for products subject to the EU Carbon Border Adjustment Mechanism (CBAM). These values represent the total greenhouse gas emissions associated with production, enabling EU importers to comply with CBAM reporting requirements.

PRODUCT	BATCH ID	QUANTITY	UNIT	TOTAL CO2E (KG)	INTENSITY (KG CO2E/UNIT)
Steel Rods	BATCH-001	1,000	kg	1,850.00	1.8500

CBAM Verification Statement

These emission values have been calculated using internationally recognized methodologies and verified through blockchain-based data integrity checks. The data is compliant with EU CBAM reporting requirements.

Generated by CarbonTraceAI • Blockchain-Verified Carbon Accounting

Data Verified on Polygon Blockchain

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This report has been prepared in accordance with Carbon Border Adjustment Mechanism (CBAM) requirements.